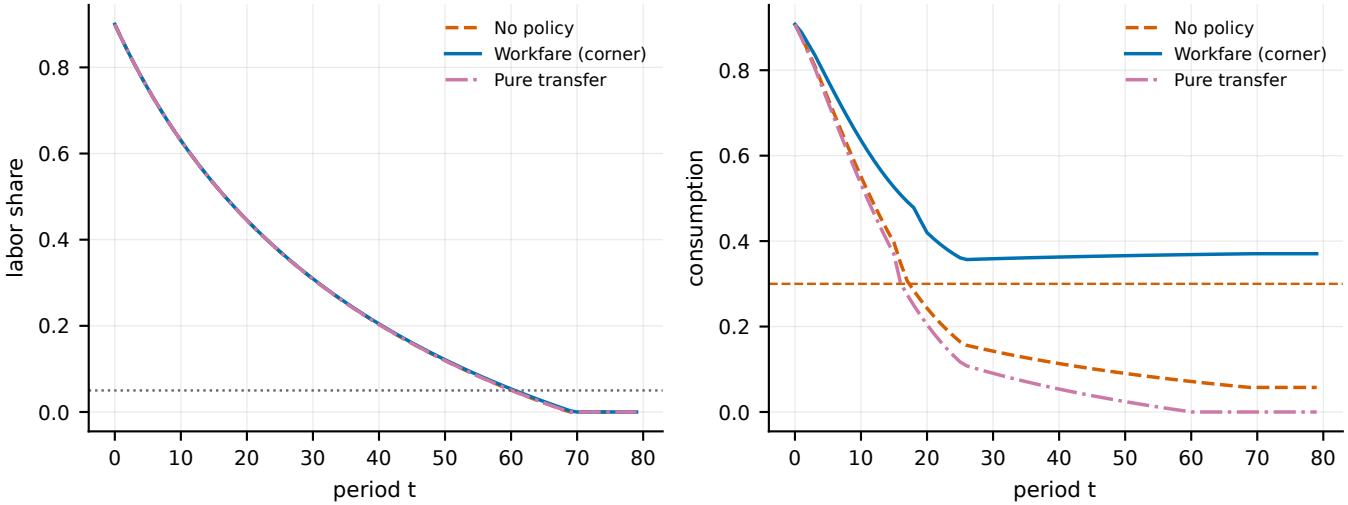

(a) Labor share s_t by regime
No policy
Workfare (corner)
Pure transfer
labor share
0.0
0.2
0.4
0.6
0.8
0
10
20
30
40
50
60
70
80
period t
(b) Consumption by regime (floor = 0.30)
No policy
Workfare (corner)
Pure transfer
consumption
0.0
0.2
0.4
0.6
0.8
0
10
20
30
40
50
60
70
80
period t